

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

COSCO SHIPPING LINES CO., LTD.

Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDS GLOBAL SCL ASIA
PACIFIC PTE LTD, AND SAMSUNG ELECTRONICS LOGITECH COMPANY, LIMITED

Third-Party Respondents.

**THIRD-PARTY RESPONDENT SAMSUNG ELECTRONICS LOGITECH CO., LTD.
S/H/A SAMSUNG ELECTRONICS LOGITECH COMPANY, LTD.'S REPLY TO
COSCO'S OPPOSITION TO THE MOTION TO DISMISS THIRD-PARTY
COMPLAINT**

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PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Logitech Co., Ltd., sued here as Samsung Electronics Logitech Company, Ltd. (“Logitech”), by its undersigned attorneys, respectfully submits this Reply to Third-Party Complainant COSCO Shipping Lines Co., Ltd.’s (“COSCO”) Opposition (“Opp.”)(Doc. No. 90) to Logitech’s Motion to Dismiss the Third-Party Complaint for failure to state a claim upon which relief can be granted (“Motion”)(Doc. No. 84).

INTRODUCTION

The procedural and factual background of this matter is set forth in the Logitech Motion which also details the fundamental deficiencies of the Third-Party Complaint (“TPC”)(Doc. No. 31). COSCO’s Opposition does nothing to cure those deficiencies; rather, it continues to rely on upon non-specific and wholly unsupported claims that Logitech acted “in concert” with the other “Samsung entities” to obtain reduced rates and charges in violation of 46 U.S.C. § 41102(a): first, by “inducing” COSCO to offer favorable terms for ocean transportation; and second, by “strongarming” COSCO into refunding or waiving properly-assessed fees. (Opp. at 1.) According to COSCO, this group, including Logitech, SDS, SEC, and SEA¹ “carried out their scheme in tandem,” and, COSCO repeatedly claims, each company acted as agent for the others to carry out the “scheme.” (COSCO Opposition to SDS Motion to Dismiss at 7; COSCO Opposition to SEC Motion to Dismiss at 7).²

But COSCO has failed to plead sufficient factual allegations to support its third-party complaint against Logitech with respect to all the elements that constitute a valid § 41102(a) claim.

¹ Logitech incorporates the abbreviations delineated in the Motion.

² COSCO has incorporated by reference its Oppositions to the Motions to Dismiss filed by SDS and SEC (Docs. 69 and 72).

Indeed, the TPC mentions Logitech specifically *only* as a signatory to one set of the alleged service contracts (TPC ¶¶ 14, 15). Aside from this, the TPC does not plausibly allege any *facts* – merely illusory speculations and conclusory statements – that **Logitech** attempted, either successfully or otherwise, to obtain ocean transportation at less than agreed rates, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts were conducted knowingly and/or willfully, directly or indirectly. In short, COSCO has utterly failed to state a claim upon which relief can be granted, and the TPC against Logitech should be dismissed with prejudice.³

Notably, COSCO has now changed its position as it claims that Logitech was a full participant in the “Third-Party Respondents’ violation of the Shipping Act.” (Opp. at 2). COSCO’s assertion is disingenuous at best, as it relies on COSCO’s determined perception of the Third-Party Respondents as nothing more than the “Samsung entities.” COSCO further claims that Logitech “participated in negotiating” the service contracts and was “jointly and severally liable for the Samsung entities’ actions and obligations under the service contracts.” (*Id.*) **But these claims are not in the Third-Party Complaint.** In fact, these claims are *contradicted by the TPC itself*, in which COSCO alleges only that “Samsung instructed” Logitech to enter into certain service contracts. Such inconsistency underscores the speculative and unreliable nature of COSCO’s allegations.⁴

³ COSCO notes that Logitech’s Motion is similar to those filed by SDS and SEC, somehow implying that this similarity buttresses its argument that the Third Parties and SEA are one and the same, indivisible and indistinguishable. But it is COSCO who has made the same sweeping and unfounded allegations against all of the Third Parties (and SEA by way of its Counterclaim) thus necessitating similar motions. And yet, none of the allegations against any of the Third Parties are factually or legally supported – certainly not the minimal allegations against Logitech.

⁴ TPC ¶ 14 merely identifies someone whom COSCO alleges signed the service contracts. It says nothing about liability.

ARGUMENT

I. Logitech is a separate corporate entity.

COSCO is correct that this same matter has been briefed before the Presiding Judge in previous Motions to Dismiss filed by the other Third-Party Respondents SDS and SEC. Nevertheless, Logitech submits that it is not just appropriate, but necessary, to consider Logitech's arguments individually. Logitech is its own corporate self; it is not merely SEC's cat's-paw or an amorphous part of a larger group of "Samsung entities." And separate corporate identities "are not to be readily disregarded." *See, e.g., Power Integrations, Inc. v. Fairchild Semiconductor Int'l, Inc.*, 233 F.R.D. 143, 145-46 (D. Del. 2005) (without clear evidence of control, the scope of a subpoena served on one corporate entity cannot be extended to reach a related entity).

Moreover, COSCO is now relying on unfounded and unsupported theories of conspiracy and agency to shore up its deficient allegations, claiming that Logitech is liable because it was a "full participant" in the alleged violation of the Shipping Act, and that it "participated in negotiating the service contracts integral to COSCO's claims." But there are no such allegations in the Third-Party Complaint, merely, as noted above, a contradictory allegation that "[b]ased on the RFQ process and COSCO's successful bids...SEC instructed Logitech" to enter into certain service contracts.⁵ Clearly, such alleged instruction comes *after* negotiations, not before

⁵ For the purposes of this Motion to Dismiss, Logitech acknowledges that the Presiding Officer must accept COSCO's factual allegations as true. *See Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189, *12 (FMC Dec. 18, 2015)(in the context of a Fed. R. Civ. P. 12(b)(6) motion, "[T]he Commission must accept as true all factual allegations and construe them in the light most favorable to the complainant."). That said, if this matter proceeds, Logitech intends to vigorously contest the validity of COSCO's allegations.

or during.

As it did in its Oppositions to the Motions to Dismiss filed by Third-Party Respondents SDS and SEC, COSCO persists in referring to all of the Third-Party Respondents (as well as SEA) as one - a group of “Samsung entities” that all acted together. (Opp. at 2-3). But this persistence does not make it so.

At no point in the Third-Party Complaint does COSCO allege facts to support this supposed conspiracy or facts supporting any kind of agency theory. *See Manchester Equip. Co., Inc. v. Am. Way and Moving Co., Inc.*, 60 F. Supp. 2d 3, 6 (E.D.N.Y. 1999)(“The law recognizes that corporations may be organized in ways to limit liability among separate corporate entities ... [A] parent company is not automatically liable for the acts of a wholly-owned subsidiary.”)(citations omitted). COSCO points to its own self-serving statement that “SEC, Samsung SDSAP, and Samsung Logitech may be referred to collectively herein as Third-Party Respondents or Samsung...” (TPC ¶ 5) and its sweeping allegations that all of the Third-Party Respondents all acted together to violate 46 U.S.C. § 41102(a) (Opp. at 4), but this does not amount to alleging any sort of agency relationship between the three different, separate, companies, let alone between them and SEA. *See Karl Rove & Co., v. Thornburgh*, 39 F. 2d. 1273, 1296 (5th Cir. 1994)(“Agency is never to be presumed; it must be shown affirmatively.”).

II. Standards of Review and Pleading: General

“In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340, *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2011 WL 7144008, *11 (FMC Aug. 1, 2011)); *see also*

MAVL Capital v. Marine Transport Logistics, Docket No. 16-16, 2020 WL 1312925, *4 (FMC Oct. 29, 2020)(the Commission looks to Fed. R. Civ. P. 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). . . . The complaint must be sufficient to ‘give the defendant fair notice of what the ... claim is and the grounds upon which it rests.’ *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (‘[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.’).

Mitsui, 2011 WL 7144008 at *12. Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atlantic v. Twombly*, 550 U.S. 544, 555 (2007)).

To satisfy the plausibility standard, the plaintiff must show “more than a sheer possibility that the defendant acted unlawfully.” *Iqbal*, 556 U.S. at 678. “Furthermore, while the court must accept well-pleaded facts as true, ‘it will not strain to find inferences favorable to the plaintiff.’” *Taha v. William Marsh Rice University*, Civil Action No. 11-2060, 2012 WL 1576099, *2 (S.D. Tex. May 3, 2012)(quoting *Southland Sec. Corp v. Inspire Ins. Solutions, Inc.*, 365 F.3d 353, 361 (5th Cir. 2004)(quoting *Westfall v. Miller*, 77 F.3d 868, 870 (5th Cir. 1996)). On a motion to dismiss, courts “are not bound to accept as true a legal conclusion couched as a factual allegation.” *Papasan v. Allain*, 478 U.S. 265, 286 (1986). “Rather the inquiry is whether the allegations in the **Complaint** plausibly state a claim for relief.” *Hicks v. Department of Public Safety and Corrections*, 595 F. Supp 3d 463, 470 (M.D. La. 2022), *aff’d in part and dismissed in part on other grounds*, 81 F.4th 497 (5th Cir. 2023)(emphasis in original). *See also Maher Terminals*,

supra, at *12 (The plausibility standard does not require the acceptance of legal conclusions as true or the drawing of inferences unsupported by the allegations.)

COSCO's allegations against Logitech of "bad faith" and "concealed disagreement" (TPC ¶¶ 55-56, 65) are paradigmatic examples of "legal conclusion[s] couched as a factual allegation." Moreover, consistent with the precedent, the Presiding Officer need not accept COSCO's legal conclusions as true nor need the Presiding Officer draw any adverse inference against Logitech as such inferences are completely unsupported by proper allegations.

III. Standards of Review: Fed. R. Civ. P. (9)(b)

The sketchy allegations of COSCO's Third-Party Complaint against Logitech (and SDS and SEC) sound in fraud – conspiracy, concealment, refusal to provide information, refusal to pay, refusal to accept responsibility – all in bad faith and through fraud or concealment (TPC ¶¶ 52-58, 65-67). Accordingly, Logitech asserts, as did SDS and SEC, that the Third-Party Complaint should be subject to the heightened pleading requirements of Fed. R. Civ. P. 9(b) which provides that "[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake."

In its Opposition to the SDS and SEC Motions to Dismiss, COSCO argues that the heightened pleading requirement of Fed. R. Civ. P. 9 (b) does not apply in FMC cases (COSCO Opposition to SDS Motion to Dismiss at 18-20; COSCO Opposition to SEC Motion to Dismiss at 19-21), stating that "the Commission has expressly and repeatedly rejected application of Fed. R. Civ. 9(b) to claims under § 41102(a)," citing, *inter alia*, the Commission's 1993 decision not to add such a requirement to its pleading rules. COSCO further asserts that this decision was recently reaffirmed by the Commission in *Samsung Electronics America, Inc. v. Orient Overseas Container*

Line, Limited and OOCL (Europe) Ltd., Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025).

Logitech is well aware of the precedent addressing this issue and has set out in detail the reasons that the 1993 direction as well as decisions such as *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, *supra*, should be reexamined (Motion. at 7-12).

While Logitech recognizes that the Presiding Officer is constrained by FMC precedent, it would be appropriate, just as Commissioner Khouri did in *Mitsui*, for the Presiding Officer to address the imperative need for the Commission to take a fresh look at the application of Fed. R. Civ. P. 9(b) in FMC proceedings.⁶

IV. Standards of Review: 46 U.S.C. § 41102(a)

Even without the higher pleading standards of Fed. R. Civ. P. 9(b) COSCO's Third-Party Complaint still fails as there are simply no factually supported allegations of wrongdoing.⁷

⁶ As will be discussed further below, a recent decision issued by Administrative Law Judge Richard Ambrow is worthy of consideration by the Presiding Officer given the similarities in the allegations made by respondents. *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 98)(ALJ Nov. 26, 2025)("OOCL Dismissal Order"). A copy of the decision has been submitted (without argument) in this matter by SEA (Doc. No. 91). In SEC's Motion to Dismiss OOCL's Third-Party Complaint, which motion was granted as part of the OOCL Dismissal Order, as here, SEC argued that Fed. R. Civ. P. 9(b) should be applied. However, ALJ Ambrow declined to reach that issue, deeming it unnecessary (OOCL Dismissal Order at 12, note 9). Logitech includes the argument here, in the event the Presiding Officer does not dismiss the claims before reaching this argument.

⁷ COSCO's statement (Opp. at 3, note 1) that SEC and SDS rely on *Maher, supra*, for the proposition that the Commission should apply Fed. R. Civ. P. 9(b) to Shipping Act claims misreads the Motions filed by SEC and SDS. While Third-Party Respondents continue to believe that Rule 9(b)'s higher pleading standards for cases sounding in fraud should be reassessed by the Commission, they did not cite *Maher* for that proposition. Rather, SEC and SDS looked to *Maher's* well-reasoned discussion of Federal court and Commission decisions regarding the standard of pleading before the FMC and the application of Fed. R. Civ. P. 12 (b) (6), decisions which fully support the dismissal of COSCO's Third-Party Complaint against Logitech (and the other Third-Party Respondents. *See Maher, supra*, at *7-16.

COSCO's allegation that Logitech is liable for a violation of 46 U.S.C. § 41102(a) rests entirely on the unsubstantiated allegation that Logitech, along with SEA, SEC and SDS, at the time of the negotiation of the alleged service contracts, disagreed with the terms of those contracts and associated other documents addressing the charges later disputed (or not paid) by SEA and concealed that disagreement from COSCO (TPC ¶ 46). By concealing this disagreement, Logitech and the others induced COSCO into offering more favorable rates than it otherwise would have. (*Id.* ¶ 48).

46 U.S.C. § 41102(a), titled "Obtaining Transportation at Less Than Applicable Rates," provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

There are no allegations in the TPC of false billing, nor of false classification, nor false weighing, nor false report of weight, nor false measurement. COSCO's only hope to somehow wrangle a violation of 46 U.S.C. § 41102(a) out of this dispute over fees and charges,⁸ is to assert, as it has, that Logitech, along with the other Third-Party Respondents, "concealed their disagreement with the term of the Service Contracts...and their intent to dishonor them" (Opp. at 3) and that this "concealment" constituted an unfair device or means. But this is just nonsense – smoke and mirrors and noise.

Under the Commission's regulatory interpretation of "unjust or unfair device or means" in

⁸ In reality, COSCO's Counterclaim against SEA as well as its Third-Party Complaint against Logitech (as well as SEC and SDS), is nothing more than a fee dispute. *See* 46 U.S.C. § 40502(f): "Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court."

connection with § 41102(a), to make a sufficient allegation of “unjust or unfair device or means,” a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana v. Michelle Franklin, d/b/a “The Right Move”*, 5 F.M.C.2d at 20-21, 2022 WL 1744905; *see also SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, *10 (ALJ Apr. 15, 2024) (same) *and* 46 C.F.R. § 545.2 (Commission’s regulatory guidance requiring “evidence of bad faith or deceit” for the Commission to infer an “unjust or unfair device”).

COSCO has not supported its assertion with any kind of factual allegations – merely conclusory allegations – regarding Logitech’s state of mind at all or, indeed, regarding the state of mind of any of the Third-Party Respondents, in the TPC. Nor are there any factual allegations regarding the “concealed disagreement” of Logitech (or, indeed, SEA, SEC or SDS) with the terms of the alleged service contracts at the time of negotiation or execution or thereafter. *Sizer v. New England Life Ins. Co.*, 871 F. Supp. 2d 1071, 1079 (D. Oreg. 2012)(“To establish a defendant’s fraudulent intent regarding a promise to act in the future, a plaintiff must do more than show the eventual breach of that promise.”)(citation omitted); *Hotel Constr., Inc. v. Seagrave Corp.*, 574 F. Supp. 384, 388 (S.D.N.Y. 1983)(“A purely conclusory allegation that defendants never intended to perform, standing alone, could not convert a claim for breach of contract into one for fraudulent inducement to contract...”)(citations omitted). That COSCO “is not required to plead with particularity does not absolve it of the requirement to allege facts that make its claims plausible, which necessarily requires *factual* allegations involving some combinations of the who, what, when, where, and how of Shipping Act violations.” *Maher, supra*, at *14 (emphasis added).

V. COSCO's Unfounded Allegation of Conspiracy

Although COSCO does not use the word in the Third-Party Complaint, COSCO's choice of words and phrases ("carried out their scheme in tandem" and each company acting as the agent for the others to carry out the "scheme"), illustrate its basic allegation that SEA, SEC, SDS and Logitech participated in a nefarious conspiracy directed against COSCO. However, COSCO alleges not a single *fact* to support this supposed sophisticated and wide-ranging arrangement among SEA, SEC, SDS and Logitech to violate the Shipping Act which is fatal to the viability of the Third-Party Complaint.

It should be recalled that at the heart of *Twombly* was an allegation of a conspiracy in violation of the Sherman Act, 15 U.S.C. § 1. 550 U.S. at 548. In determining the plausibility of the allegations, the Supreme Court necessarily had to consider the pleadings in the context of an allegation of conspiracy, noting that it "makes sense to say, therefore, that an allegation of parallel conduct and a bare assertion of conspiracy will not suffice. Without more, parallel conduct does not suggest conspiracy, and a conclusory allegation of agreement at some unidentified point does not supply facts adequate to show illegality." *Id.* at 556-57. Similarly:

'We must judge the sufficiency of the complaint by the facts alleged and not by the pleader's conclusions...The repeated words combined, conspired, and agreed together to injure [Plaintiffs]...are insufficient.'...Moreover, Plaintiffs failed to allege any specific factual allegations about the purported conspiracy. Plaintiffs' complaint is devoid of any *factual* allegations regarding a meeting or agreement between all Defendants.

Fox v. The City of Greensboro, 279 N.C. App. 301, 322, 866 S.E.2d 270 (N.C. Court of Appeals 2021)(quoting *Shope v. Boyer*, 268 N.C. 401, 405, 150 S.E.2d 771 (N.C. 1966))(emphasis added). While *Fox* and *Shope* were construing North Carolina law, the precepts stated apply with equal force here.

The only factual allegations made by COSCO relate to the disputes between itself and SEA. Notwithstanding COSCO's repeated statements, there are no factual allegations supporting a legitimate claim of the existence of a conspiracy. The Presiding Officer should summarily reject COSCO's effort to conjure a conspiracy out of thin air.

VI. The OOCL Dismissal Order Presents Persuasive Reasoning to Dismiss COSCO's claims.

COSCO's counterclaim and the third-party complaint are predicated on the same § 41102(a) theory posited by OOCL in the Judge Ambrow proceeding, referenced in fn. 6, *supra*. Logitech submits that the analysis in the OOCL Dismissal Order, issued last week, merits consideration because of the parallel nature of the allegations. OOCL's claims have resulted in several decisions, including *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025), which addressed a counterclaim asserted by OOCL against SEA.⁹ The Commission found that the allegations of deception and concealment asserted against SEA in the OOCL counterclaim were insufficient: "But none of that alleges a plot to lower rates by secretly harboring and later acting on erroneous views about who was responsible for the type of delays at issue." *Id.* at 18. Further, the Commission was doubtful that even if OOCL made additional allegations concerning SEA's alleged concealment, such would not necessarily state a viable claim:

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an 'unfair device' under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo...

⁹ The Commission affirmed the Presiding Officer's dismissal of OOCL's counterclaim against SEA, albeit remanded the matter to allow OOCL "at least one chance to allege a plausible claim..." (Doc. 66 at 20).

Here, OOCL's brief appears to be alleging that SEA had a secret plan to get lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the incorrect claim that OOCL was responsible for the delays. Even that scenario seems less like the kind of fact-based fraud or concealment seen in successful cases and more akin to a disagreement about legal matters, which is not sufficient to support a section 41102(a) claim.

Id. at 18-19.

In due course, in the OOCL matter, SEA moved to dismiss the Amended Counterclaim. Additionally, the ALJ allowed OOCL to file an amended Third-Party complaint against SEC (FMC Dkt. No. 24-17: Doc. No. 78), which SEC moved to dismiss (FMC Dkt. No. 24-17: Doc Nos. 93, 94 and 95).

In the OOCL Dismissal Order, ALJ Ambrow addressed OOCL's Amended Counterclaim and Amended Third-Party Complaint and dismissed them both for failure to state a claim. ALJ Ambrow noted that all of the allegations made by OOCL turned on the resolution of the claims made by SEA:

In sum, reading the [Amended Counterclaim] and the [Amended Third-Party Complaint] carefully, all of the allegations ultimately turn on the resolution of the same claims that form the basis of the facially valid [Verified Amended Complaint]. And a legitimate dispute cannot be an unjust or unfair means or device. (July 30 [FMC] Order, *Waterman Steamship [Corp. v. General Foundries, Inc.]*, Dkt. No. 93-15, 1993 WL 13975538, *11[(ALJ Dec. 9, 1993), *aff'd*, Jun. 13, 1994]; *Capitol Transp. [Inc. v. United States]*, 612 F.2d [1312], at 1323 [(1st Cir. 1979)]. Therefore, neither the [Amended Counterclaim] nor the [Amended Third-Party Complaint] allege an unfair or unjust device or means.

OOCL Dismissal Order at 10-11.

COSCO attempts to avoid the impact of the OOCL Dismissal Order by saying that it does not seek "damages" as did OOCL, but rather "reparations", specifically the difference between

what Logitech and the other Third-Party Respondents would have had to pay absent their “inducement” of COSCO, and what they actually paid. (Opp. at 4).

But this assertion is inconsistent with its own pleadings. In its Counterclaim against SEA, COSCO alleges that it has suffered actual damages of approximately \$36,000,000.00 and asks that “SEA be required to pay all damages, plus interest, incurred by COSCO...” (Counterclaim § VII. 3 at 41)(Doc. No. 30) In its Third-Party Complaint, COSCO alleges that it has suffered actual damages of approximately \$36,000,000.00 (TPC ¶¶ 70 and 71) and demands, *inter alia*, that “Third-Party Respondents be [required] to pay Third-Party Complaint reparations...” (TPC § VII.B at 14) “Reparations” is undefined.

Similarly, OOCL’s Amended Counterclaim against SEA asked for damages (FMC Dkt. No. 24-17, Doc. 69 at § V.2), while its Amended Third-Party Complaint against SEC sought reparations (FMC Dkt. No. 24-17, Doc. 85 at § VII.B), again in an undefined term.

Simply put, COSCO’s argument based on a purported substantive difference between the matters is a distinction without a difference and is as illusory as its allegations in the Third-Party Complaint.

VII. Leave to Amend should be Denied

As a final matter, COSCO asserts that if the Presiding Officer finds its complaint to be deficient, it is “necessary” to allow COSCO an opportunity to amend its Third-Party Complaint and refers to SEA being allowed to amend its Complaint. (Opp. at 5,)

COSCO is mistaken. While leave to amend pleadings may be routinely granted, it is neither “necessary” nor required. Such leave is denied particularly in cases of bad faith, or where amendment would be futile or would cause undue delay. *See, e.g., Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Dkt. No. 14-04, 2014 WL 5824274, *9 (ALJ Nov. 6, 2014) (“when a

complaint is dismissed for failure to state a claim, leave to amend need not be given if amendment would be futile.”); *Leonelli v. Pennwalt Corp.*, 887 F.2d 1195, 1198 (2d Cir. 1989)(leave to amend “will be denied when an amendment is offered in bad faith, would cause undue delay or prejudice or would be futile.”).

Concerning futility, COSCO’s Third-Party Complaint against Logitech, for the reasons stated above, lacks any cognizable factual or legal basis. Further, it is clear from the Opposition to the Motion (even referencing in the Oppositions to the SEC and SDS Motions to Dismiss) that COSCO cannot add any substance to the deficient Third-Party Complaint, merely more unsubstantiated and conclusory allegations. Since it cannot, amendment would be futile.¹⁰

COSCO infers that deficiencies in its pleading may be cured through discovery (Opposition to SDS Motion to Dismiss at 7); clearly COSCO itself has little confidence that an amended Third-Party Complaint will be sufficient. But “[discovery] is not a device to enable a plaintiff to make a case when his complaint has failed to state a claim.” *Kaylor v. Fields*, 661 F.2d 1177, 1184 (8th Cir. 1981). *See also Ashcroft, supra*, 686 (“Because [plaintiff]’s complaint is deficient under Rule 8, [plaintiff] is not entitled to discovery, cabined or otherwise.”).

In addition, it is appropriate for the Presiding Officer to consider whether the motivation for filing the Third-Party Complaint had another purpose, such as to seek discovery from SEC (and SEC and Logitech) as a party as opposed to needing to obtain discovery from a non-party, non-U.S. entity under the appropriate procedural devices.¹¹

¹⁰ COSCO previously opined that the appropriate remedy for its deficient pleading would be a Motion for a More Definite Statement. (Opposition to SEC Motion to Dismiss at 22, note 15.) Yet, COSCO also said it would not be appropriate to require more specificity, blaming the “Samsung entities” for having “obscured” their actions. It would appear, then, that, a Motion for a More Definite Statement would itself be futile.

¹¹ COSCO has served a Subpoena for Documents upon non-party SDS America, Inc. (“SDSA”). SDSA has moved to quash on grounds of overreach and undue burden. The motion is *sub judice*

CONCLUSION

Given the failure to plead a plausible or actionable claim under the Shipping Act, the Third-Party Complaint should be dismissed.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(6), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondent Logitech respectfully moves for an Order:

1. Dismissing with prejudice COSCO's Third-Party Complaint in its entirety; and,
2. Granting Logitech all such other and further relief as may be just and proper.

Dated: December 8, 2025

Respectfully submitted,

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(Doc. Nos. 81 and 82). COSCO has served a nearly identical Subpoena upon Third-Party Respondent SDS in an apparent attempt to “jump the gun” seeking discovery from a party before its Motion to Dismiss is decided, and via subpoena, rather than waiting to comply with normal discovery rules. SDS has also moved to quash and COSCO has opposed; that motion is also *sub judice* (Doc. Nos. 89 and opposition filed December 5, 2025). Logitech is aware that other subpoenas for documents have been directed to SEC, Logitech and for non-party Samsung SDS Co., Ltd. (Doc. No. 79).

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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